The "Tax credits granted on past capital investments" mainly related to a 2003 agreement granting the Company certain tax credits for capital investments purchased through the year ending December 31, 2006. Any unused tax credits granted under the agreement will be impacted yearly by a legal inflationary index (currently -0.18% per annum). The credits may be utilized through 2020 or later depending on the Company meeting certain program criteria. In addition to this agreement, starting in 2007 the Company continues to receive tax credits on the yearly capital investments, which may be used to offset that year's tax liabilities and increases by the legal inflationary rate. However, pursuant to the inability to utilize these credits currently and in future years, the Company did not recognize any deferred tax asset on such tax allowance. As a result, there is no financial impact to the net deferred tax assets of the Company.

The amounts of deferred tax benefit (expense) recorded as a component of other comprehensive income (loss) was $6 million in 2019 and $7 million in 2018, respectively. They were related primarily to the tax effects of the recognized unfunded status on defined benefits plan.

The cumulative amount of distributable earnings related to the Company's investments in foreign subsidiaries and corporate joint ventures was $3,628 million and $2,863 million as at December 31, 2019 and December 31, 2018, respectively. Due to the Company's legal and tax structure, with the parent company established in the Netherlands, there was no significant tax impact from the distribution of earnings from investments in foreign subsidiaries and corporate joint ventures. This is because there is no tax impact on dividends paid up to a Dutch holding company.

A reconciliation of 2019, 2018 and 2017 beginning and ending amounts of unrecognized tax benefits is as follows:

	December 31, 2019	December 31, 2018	December 31, 2017
Balance at beginning of year	38	333	258
Additions based on tax positions related to the current year	7	43	43
Additions based on acquisitions related to the current year	5	—	—
Additions for tax positions of prior years	1	8	12
Reduction for tax positions of prior years	(1)	(310)	(9)
Settlements	(2)	(18)	(2)
Prepayment / Refund	—	—	—
Reductions due to lapse of statute of limitations	—	—	—
Foreign currency translation	—	(18)	31
Balance at end of year	**48**	**38**	**333**

At December 31, 2019 and 2018, $21 million and $20 million, respectively, of unrecognized tax benefits were classified as a reduction of deferred tax assets. The finalisation in the fourth quarter of 2018 of pending tax litigations triggered the reversal of uncertain tax positions in major tax jurisdictions for a total amount of $310 million. It is reasonably possible that certain of the uncertain tax positions disclosed in the table above could increase within the next 12 months due to ongoing tax audits. The Company is not able to make an estimate of the range of the reasonably possible change.

Additionally, the Company elected to classify accrued interest and penalties related to uncertain tax positions as components of income tax expense in the consolidated statements of income, they were less than $1 million in 2019, $1 million in 2018, less than $1 million in 2017, $1 million in 2016, $1 million in 2015, $27 million in 2014 and not material in the previous years. Accrued interest and penalties amounted to $6 million at December 31, 2019 and $5 million at December 31, 2018.

The tax years that remain open for review in the Company's major tax jurisdictions, including France, Italy, United States and India, are from 1997 to 2019.